

Share volumes in each of these periods were compared to the average volumes that trade in these periods on normal trading days in order to gain insight into the changing trading behavior by special event day.

The main findings from the paper are:

- Small cap stocks trade a higher percentage in the opening and closing auctions than large cap stocks.
- NYSE large cap stocks trade a higher percentage of the day's volume in auctions than NASDAQ large cap stocks.
- NASDAQ small cap stocks trade a higher percentage of the day's volume in auctions than NYSE small cap stocks.
- *FOMC days*. There was 4% more trading volume on the day but 5% more volume during the intraday period. Both opening auction volume and closing auction volume were lower than on normal trading days. On FOMC days traders concentrated trading around the time of the FOMC meeting and new announcement.
- *Triple Witching*. Large caps stocks traded 20% more volume and small cap stocks traded 45% more volume than on normal days. However, the change in intraday volume (total volume not including the opening and closing auctions) was not nearly as dramatic. Large cap volume was 3% lower than normal and small cap volume was only 10% more than normal. The opening auction volume was 15% more for large cap and 29% more for small cap, and the closing auction volume was 10% more for large cap and 12% more for small cap stocks.
- *Company Earnings*. Volumes on company earnings days were on average almost twice as high as normal days and this was consistent across all categories of the trading day. For the full day, large cap volume was 84% higher and small cap volume was 92% higher. Intraday volumes were 86% higher for large caps and 92% for small caps. The auction volumes were also about twice as high as on normal days. But in times where the earnings announcement was during the trade day the closing auction volume was considerably higher. In times where the earnings announcement was the prior evening or before market hours the opening auction volume was much higher.
- *Index Change*. A large difference across market cap volumes for large and small cap stocks on days of index changes. Large cap traded 24% more volume but small cap volume was 185% more than on normal day's. Large caps intraday volume was 6% more than normal and small cap was 83% more. The large majority of the increase in volume, as expected, was traded in the closing auction. Large cap stocks traded 20.8% of a normal day's volume in the closing auction compared to 3.3% on a normal day, and small cap stocks traded 110.7% of a normal